

Contract for Consultant's Services

Lump-Sum

Project Name: Component 1: Business planning and financial modelling to Support the Preparation of Serious Shea, a Shea Butter Processing Company, in Burkina Faso

Grant No. 4367

Contract No. 1

Between

Serious Shea SARL

and

Irbaris LLP

Dated: 26th November 2018

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PREFACE

1. The standard Contract form consists of four parts: The Form of Contract to be signed by the Client and the Consultant, the General Conditions of Contract (GCC), including Attachment 1 (Bank's Policy – Corrupt and Fraudulent Practices); the Special Conditions of Contract (SCC); and the Appendices.
2. The General Conditions of Contract, including Attachment 1, shall not be modified. The Special Conditions of Contract that contain clauses specific to each Contract intend to supplement, but not over-write or otherwise contradict, the General Conditions.

FORM OF CONTRACT

LUMP-SUM

This CONTRACT (hereinafter called the “Contract”) is made the 26th day of the month of November 2018, between, on the one hand, Serious Shea SARL (hereinafter called the “Client”) and, on the other hand, Irbaris LLP (hereinafter called the “Consultant”).

WHEREAS

- (a) the Client has requested the Consultant to provide certain consulting services as defined in this Contract (hereinafter called the “Services”);
- (b) the Consultant, having represented to the Client that it has the required professional skills, expertise and technical resources, has agreed to provide the Services on the terms and conditions set forth in this Contract;
- (c) the Client has received a [grant](#) from the African Development Bank: toward the cost of the Services and intends to apply a portion of the proceeds of this [grant](#) to eligible payments under this Contract, it being understood that (i) payments by the Bank will be made only at the request of the Client and upon approval by the Bank; (ii) such payments will be subject, in all respects, to the terms and conditions of the [grant](#) agreement account for the purpose of any payment to persons or entities, or for any import of goods, if such payment or import, to the knowledge of the Bank, is prohibited by the decision of the United Nations Security council taken under Chapter VII of the Charter of the United Nations/; and (iii) no party other than the Client shall derive any rights from the [grant](#) agreement or have any claim to the [grant](#) proceeds;

NOW THEREFORE the parties hereto hereby agree as follows:

1. The following documents attached hereto shall be deemed to form an integral part of this Contract:

- (a) The General Conditions of Contract (including Attachment 1 “Bank Policy – Corrupt and Fraudulent Practices);
- (b) The Special Conditions of Contract;
- (c) Appendices:

Appendix A: Terms of Reference

Appendix B: Key Experts

Appendix C: Breakdown of Contract Price

Appendix D: Form of Advance Payments Guarantee

In the event of any inconsistency between the documents, the following order of precedence shall prevail: The Special Conditions of Contract; the General Conditions of Contract, including Attachment 1; Appendix A; Appendix B; Appendix C; Appendix D. Any reference to this Contract shall include, where the context permits, a reference to its Appendices.

2. The mutual rights and obligations of the Client and the Consultant shall be as set forth in the Contract, in particular:
 - (a) the Consultant shall carry out the Services in accordance with the provisions of the Contract; and
 - (b) the Client shall make payments to the Consultant in accordance with the provisions of the Contract.

IN WITNESS WHEREOF, the Parties hereto have caused this Contract to be signed in their respective names as of the day and year first above written.

For and on behalf of Serious Shea SARL,



Mr. Jon White, Director at Serious Shea

For and on behalf of Irbaris LLP,



Mr. David Hampton, Managing Partner of Irbaris LLP

GENERAL CONDITIONS OF CONTRACT

A. GENERAL PROVISIONS

1. Definitions

- 1.1. Unless the context otherwise requires, the following terms whenever used in this Contract have the following meanings:
- (a) “Applicable Guidelines” means *policy of bank details for the use of consultants which can be found at www.afdb.org*.
 - (b) “Applicable Law” means the laws and any other instruments having the force of law in the Client’s country, or in such other country as may be specified in the Special Conditions of Contract (SCC), as they may be issued and in force from time to time.
 - (c) “Bank” means the African Development Bank, the African Development Fund and the Nigeria Trust Fund as the context may require.
 - (d) “Borrower or Recipient or Beneficiary” means the Government, Government agency or other entity that signs the financing [or loan/credit/grant/project] agreement with the Bank.
 - (e) “Client” means *the implementing/ executing* agency that signs the Contract for the Services with the Selected Consultant.
 - (f) “Consultant” means a legally-established professional consulting firm or entity selected by the Client to provide the Services under the signed Contract.
 - (g) “Contract” means the legally binding written agreement signed between the Client and the Consultant and which includes all the attached documents listed in its paragraph 1 of the Form of Contract (the General Conditions (GCC), the Special Conditions (SCC), and the Appendices).
 - (h) “Day” means a working day unless indicated otherwise.
 - (i) “Effective Date” means the date on which this Contract comes into force and effect pursuant to Clause GCC 11.
 - (j) “Experts” means, collectively, Key Experts, Non-Key Experts, or any other personnel of the Consultant, Sub-consultant or JV member(s) assigned by the Consultant to perform the Services or any part thereof under the Contract.
 - (k) “Foreign Currency” means any currency other than the currency of the Client’s country.
 - (l) “GCC” means these General Conditions of Contract.
 - (m) “Government” means the government of the Client’s country.

- (n) “Joint Venture (JV)” means an association with or without a legal personality distinct from that of its members, of more than one entity where one member has the authority to conduct all businesses for and on behalf of any and all the members of the JV, and where the members of the JV are jointly and severally liable to the Client for the performance of the Contract.
- (o) “Key Expert(s)” means an individual professional whose skills, qualifications, knowledge and experience are critical to the performance of the Services under the Contract and whose Curricula Vitae (CV) was taken into account in the technical evaluation of the Consultant’s proposal.
- (p) “Local Currency” means the currency of the Client’s country.
- (q) “Non-Key Expert(s)” means an individual professional provided by the Consultant or its Sub-consultant to perform the Services or any part thereof under the Contract.
- (r) “Party” means the Client or the Consultant, as the case may be, and “Parties” means both of them.
- (s) “SCC” means the Special Conditions of Contract by which the GCC may be amended or supplemented but not over-written.
- (t) “Services” means the work to be performed by the Consultant pursuant to this Contract, as described in Appendix A hereto.
- (u) “Sub-consultants” means an entity to whom/which the Consultant subcontracts any part of the Services while remaining solely liable for the execution of the Contract.
- (v) “Third Party” means any person or entity other than the Government, the Client, the Consultant or a Sub-consultant.

2. Relationship between the Parties

- 2.1. Nothing contained herein shall be construed as establishing a relationship of master and servant or of principal and agent as between the Client and the Consultant. The Consultant, subject to this Contract, has complete charge of the Experts and Sub-consultants, if any, performing the Services and shall be fully responsible for the Services performed by them or on their behalf hereunder.

3. Law Governing Contract

- 3.1. This Contract, its meaning and interpretation, and the relation between the Parties shall be governed by the Applicable Law.

4. Language

- 4.1. This Contract has been executed in the language specified in the SCC, which shall be the binding and controlling language for all matters relating to the meaning or interpretation of this Contract.

5. Headings

- 5.1. The headings shall not limit, alter or affect the meaning of this Contract.

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| 6. Communications | <p>6.1. Any communication required or permitted to be given or made pursuant to this Contract shall be in writing in the language specified in Clause GCC 4. Any such notice, request or consent shall be deemed to have been given or made when delivered in person to an authorized representative of the Party to whom the communication is addressed, or when sent to such Party at the address specified in the SCC.</p> <p>6.2. A Party may change its address for notice hereunder by giving the other Party any communication of such change to the address specified in the SCC.</p> |
| 7. Location | <p>7.1. The Services shall be performed at such locations as are specified in Appendix A hereto and, where the location of a particular task is not so specified, at such locations, whether in the Government's country or elsewhere, as the Client may approve.</p> |
| 8. Authority of Member in Charge | <p>8.1. In case the Consultant is a Joint Venture, the members hereby authorize the member specified in the SCC to act on their behalf in exercising all the Consultant's rights and obligations towards the Client under this Contract, including without limitation the receiving of instructions and payments from the Client.</p> |
| 9. Authorized Representatives | <p>9.1. Any action required or permitted to be taken, and any document required or permitted to be executed under this Contract by the Client or the Consultant may be taken or executed by the officials specified in the SCC.</p> |
| 10. Corrupt and Fraudulent Practices | <p>10.1. The Bank requires compliance with its policy in regard to corrupt and fraudulent/prohibited practices as set forth in Attachment 1 to the GCC.</p> |
| a. Commissions and Fees | <p>10.2. The Client requires the Consultant to disclose any commissions, gratuities or fees that may have been paid or are to be paid to agents or any other party with respect to the selection process or execution of the Contract. The information disclosed must include at least the name and address of the agent or other party, the amount and currency, and the purpose of the commission, gratuity or fee. Failure to disclose such commissions, gratuities or fees may result in termination of the Contract and/or sanctions by the Bank.</p> |

B. COMMENCEMENT, COMPLETION, MODIFICATION AND TERMINATION OF CONTRACT

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| 11. Effectiveness of | <p>11.1. This Contract shall come into force and effect on the date (the "Effective Date") of the Client's notice to the Consultant</p> |
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Contract		instructing the Consultant to begin carrying out the Services. This notice shall confirm that the effectiveness conditions, if any, listed in the SCC have been met.
12. Termination of Contract for Failure to Become Effective	12.1.	If this Contract has not become effective within such time period after the date of Contract signature as specified in the SCC , either Party may, by not less than twenty two (22) days written notice to the other Party, declare this Contract to be null and void, and in the event of such a declaration by either Party, neither Party shall have any claim against the other Party with respect hereto.
13. Commencement of Services	13.1.	The Consultant shall confirm availability of Key Experts and begin carrying out the Services not later than the number of days after the Effective Date specified in the SCC .
14. Expiration of Contract	14.1.	Unless terminated earlier pursuant to Clause GCC 19 hereof, this Contract shall expire at the end of such time period after the Effective Date as specified in the SCC .
15. Entire Agreement	15.1.	This Contract contains all covenants, stipulations and provisions agreed by the Parties. No agent or representative of either Party has authority to make, and the Parties shall not be bound by or be liable for, any statement, representation, promise or agreement not set forth herein.
16. Modifications or Variations	16.1.	Any modification or variation of the terms and conditions of this Contract, including any modification or variation of the scope of the Services, may only be made by written agreement between the Parties. However, each Party shall give due consideration to any proposals for modification or variation made by the other Party.
	16.2.	In cases of substantial modifications or variations, the prior written consent of the Bank is required.
17. Force Majeure		
a. Définition	17.1	For the purposes of this Contract, “Force Majeure” means an event which is beyond the reasonable control of a Party, is not foreseeable, is unavoidable, and makes a Party’s performance of its obligations hereunder impossible or so impractical as reasonably to be considered impossible under the circumstances, and subject to those requirements, includes, but is not limited to, war, riots, civil disorder, earthquake, fire, explosion, storm, flood or other adverse weather conditions, strikes, lockouts or other industrial action confiscation or any other action by Government agencies.
	17.2.	Force Majeure shall not include (i) any event which is caused by the negligence or intentional action of a Party or

such Party's Experts, Sub-consultants or agents or employees, nor (ii) any event which a diligent Party could reasonably have been expected to both take into account at the time of the conclusion of this Contract, and avoid or overcome in the carrying out of its obligations hereunder.

17.3. Force Majeure shall not include insufficiency of funds or failure to make any payment required hereunder.

b. No Breach of Contract

17.4 The failure of a Party to fulfill any of its obligations hereunder shall not be considered to be a breach of, or default under, this Contract insofar as such inability arises from an event of Force Majeure, provided that the Party affected by such an event has taken all reasonable precautions, due care and reasonable alternative measures, all with the objective of carrying out the terms and conditions of this Contract.

c. Measures to be Taken

17.5 A Party affected by an event of Force Majeure shall continue to perform its obligations under the Contract as far as is reasonably practical, and shall take all reasonable measures to minimize the consequences of any event of Force Majeure.

17.6 A Party affected by an event of Force Majeure shall notify the other Party of such event as soon as possible, and in any case not later than fourteen (14) calendar days following the occurrence of such event, providing evidence of the nature and cause of such event, and shall similarly give written notice of the restoration of normal conditions as soon as possible.

17.7 Any period within which a Party shall, pursuant to this Contract, complete any action or task, shall be extended for a period equal to the time during which such Party was unable to perform such action as a result of Force Majeure.

17.8 During the period of their inability to perform the Services as a result of an event of Force Majeure, the Consultant, upon instructions by the Client, shall either:

- (a) demobilize, in which case the Consultant shall be reimbursed for additional costs they reasonably and necessarily incurred, and, if required by the Client, in reactivating the Services; or
- (b) continue with the Services to the extent reasonably possible, in which case the Consultant shall continue to be paid under the terms of this Contract and be reimbursed for additional costs reasonably and necessarily incurred.
- (c) In the case of disagreement between the Parties as to the existence or extent of Force Majeure, the matter shall be settled according to Clauses GCC 44 & 45.

18. Suspension

- 18.1. The Client may, by written notice of suspension to the Consultant, suspend all payments to the Consultant hereunder if the Consultant fails to perform any of its obligations under this Contract, including the carrying out of the Services, provided that such notice of suspension (i) shall specify the nature of the failure, and (ii) shall request the Consultant to remedy such failure within a period not exceeding thirty (30) calendar days after receipt by the Consultant of such notice of suspension.

19. Termination

- 19.1. This Contract may be terminated by either Party as per provisions set up below:

a. By the Client

- 19.1.1. The Client may terminate this Contract in case of the occurrence of any of the events specified in paragraphs (a) through (f) of this Clause. In such an occurrence the Client shall give at least thirty (30) calendar days' written notice of termination to the Consultant in case of the events referred to in (a) through (d); at least sixty (60) calendar days' written notice in case of the event referred to in (e); and at least five (5) calendar days' written notice in case of the event referred to in (f):
- (a) If the Consultant fails to remedy a failure in the performance of its obligations hereunder, as specified in a notice of suspension pursuant to Clause GCC 18;
 - (b) If the Consultant becomes (or, if the Consultant consists of more than one entity, if any of its members becomes) insolvent or bankrupt or enter into any agreements with their creditors for relief of debt or take advantage of any law for the benefit of debtors or go into liquidation or receivership whether compulsory or voluntary;
 - (c) If the Consultant fails to comply with any final decision reached as a result of arbitration proceedings pursuant to Clause GCC 45.1;
 - (d) If, as the result of Force Majeure, the Consultant is unable to perform a material portion of the Services for a period of not less than sixty (60) calendar days;
 - (e) If the Client, in its sole discretion and for any reason whatsoever, decides to terminate this Contract;
 - (f) If the Consultant fails to confirm availability of Key Experts as required in Clause GCC 13.
- 19.1.2. Furthermore, if the Client determines that the Consultant has engaged in corrupt, fraudulent, collusive, coercive practices, in competing for or in executing the Contract, then the Client may, after giving fourteen (14) calendar days written notice to

the Consultant, terminate the Consultant's employment under the Contract.

- b. By the Consultant**
- 19.1.3. The Consultant may terminate this Contract, by not less than thirty (30) calendar days' written notice to the Client, in case of the occurrence of any of the events specified in paragraphs (a) through (d) of this Clause.
- (a) If the Client fails to pay any money due to the Consultant pursuant to this Contract and not subject to dispute pursuant to Clause GCC 45.1 within forty-five (45) calendar days after receiving written notice from the Consultant that such payment is overdue.
 - (b) If, as the result of Force Majeure, the Consultant is unable to perform a material portion of the Services for a period of not less than sixty (60) calendar days.
 - (c) If the Client fails to comply with any final decision reached as a result of arbitration pursuant to Clause GCC 45.1.
 - (d) If the Client is in material breach of its obligations pursuant to this Contract and has not remedied the same within forty-five (45) days (or such longer period as the Consultant may have subsequently approved in writing) following the receipt by the Client of the Consultant's notice specifying such breach.
- c. Cessation of Rights and Obligations**
- 19.1.4. Upon termination of this Contract pursuant to Clauses GCC 12 or GCC 19 hereof, or upon expiration of this Contract pursuant to Clause GCC 14, all rights and obligations of the Parties hereunder shall cease, except (i) such rights and obligations as may have accrued on the date of termination or expiration, (ii) the obligation of confidentiality set forth in Clause GCC 22, (iii) the Consultant's obligation to permit inspection, copying and auditing of their accounts and records set forth in Clause GCC 25, and (iv) any right which a Party may have under the Applicable Law.
- d. Cessation of Services**
- 19.1.5. Upon termination of this Contract by notice of either Party to the other pursuant to Clauses GCC 19a or GCC 19b, the Consultant shall, immediately upon dispatch or receipt of such notice, take all necessary steps to bring the Services to a close in a prompt and orderly manner and shall make every reasonable effort to keep expenditures for this purpose to a minimum. With respect to documents prepared by the Consultant and equipment and materials furnished by the Client, the Consultant shall proceed as provided, respectively, by Clauses GCC 27 or GCC 28.
- e. Payment upon Termination**
- 19.1.6. Upon termination of this Contract, the Client shall make the following payments to the Consultant:
- (a) payment for Services satisfactorily performed prior to the

effective date of termination; and

- (b) in the case of termination pursuant to paragraphs (d) and (e) of Clause GCC 19.1.1, reimbursement of any reasonable cost incidental to the prompt and orderly termination of this Contract, including the cost of the return travel of the Experts.

C. OBLIGATIONS OF THE CONSULTANT

20. General

a. Standard of Performance

20.1 The Consultant shall perform the Services and carry out the Services with all due diligence, efficiency and economy, in accordance with generally accepted professional standards and practices, and shall observe sound management practices, and employ appropriate technology and safe and effective equipment, machinery, materials and methods. The Consultant shall always act, in respect of any matter relating to this Contract or to the Services, as a faithful adviser to the Client, and shall at all times support and safeguard the Client's legitimate interests in any dealings with the third parties.

20.2. The Consultant shall employ and provide such qualified and experienced Experts and Sub-consultants as are required to carry out the Services.

20.3. The Consultant may subcontract part of the Services to an extent and with such Key Experts and Sub-consultants as may be approved in advance by the Client. Notwithstanding such approval, the Consultant shall retain full responsibility for the Services.

b. Law Applicable to Services

20.4. The Consultant shall perform the Services in accordance with the Contract and the Applicable Law and shall take all practicable steps to ensure that any of its Experts and Sub-consultants, comply with the Applicable Law.

20.5. Throughout the execution of the Contract, the Consultant shall comply with the import of goods and services prohibitions in the Client's country when

- (a) as a matter of law or official regulations, the Borrower's/Beneficiary's country prohibits commercial relations with that country; or
- (b) by an act of compliance with a decision of the United Nations Security Council taken under Chapter VII of the Charter of the United Nations, the Borrower's Country prohibits any import of goods from that country or any payments to any country, person, or entity in that country.

- 20.6. The Client shall notify the Consultant in writing of relevant local customs, and the Consultant shall, after such notification, respect such customs.
- 21. Conflict of Interests**
- 21.1. The Consultant shall hold the Client's interests paramount, without any consideration for future work, and strictly avoid conflict with other assignments or their own corporate interests.
- a. Consultant Not to Benefit from Commissions, Discounts, etc.**
- 21.1.1 The payment of the Consultant pursuant to GCC F (Clauses GCC 38 through 42) shall constitute the Consultant's only payment in connection with this Contract and, subject to Clause GCC 21.1.3, the Consultant shall not accept for its own benefit any trade commission, discount or similar payment in connection with activities pursuant to this Contract or in the discharge of its obligations hereunder, and the Consultant shall use its best efforts to ensure that any Sub-consultants, as well as the Experts and agents of either of them, similarly shall not receive any such additional payment.
- 21.1.2 Furthermore, if the Consultant, as part of the Services, has the responsibility of advising the Client on the procurement of goods, works or services, the Consultant shall comply with the Bank's Applicable Guidelines, and shall at all times exercise such responsibility in the best interest of the Client. Any discounts or commissions obtained by the Consultant in the exercise of such procurement responsibility shall be for the account of the Client.
- b. Consultant and Affiliates Not to Engage in Certain Activities**
- 21.1.3 The Consultant agrees that, during the term of this Contract and after its termination, the Consultant and any entity affiliated with the Consultant, as well as any Sub-consultants and any entity affiliated with such Sub-consultants, shall be disqualified from providing goods, works or non-consulting services resulting from or directly related to the Consultant's Services for the preparation or implementation of the project, unless otherwise indicated in the SCC.
- c. Prohibition of Conflicting Activities**
- 21.1.4 The Consultant shall not engage, and shall cause its Experts as well as its Sub-consultants not to engage, either directly or indirectly, in any business or professional activities that would conflict with the activities assigned to them under this Contract.
- d. Strict Duty to Disclose Conflicting Activities**
- 21.1.5 The Consultant has an obligation and shall ensure that its Experts and Sub-consultants shall have an obligation to disclose any situation of actual or potential conflict that impacts their capacity to serve the best interest of their Client, or that may reasonably be perceived as having this effect. Failure to disclose said situations may lead to the disqualification of the Consultant or the termination of its

Contract.

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| 22. Confidentiality | 22.1 | Except with the prior written consent of the Client, the Consultant and the Experts shall not at any time communicate to any person or entity any confidential information acquired in the course of the Services, nor shall the Consultant and the Experts make public the recommendations formulated in the course of, or as a result of, the Services. |
| 23. Liability of the Consultant | 23.1 | Subject to additional provisions, if any, set forth in the SCC, the Consultant's liability under this Contract shall be as determined under the Applicable Law. |
| 24. Insurance to be Taken out by the Consultant | 24.1 | The Consultant (i) shall take out and maintain, and shall cause any Sub-consultants to take out and maintain, at its (or the Sub-consultants', as the case may be) own cost but on terms and conditions approved by the Client, insurance against the risks, and for the coverage specified in the SCC, and (ii) at the Client's request, shall provide evidence to the Client showing that such insurance has been taken out and maintained and that the current premiums therefore have been paid. The Consultant shall ensure that such insurance is in place prior to commencing the Services as stated in Clause GCC 13. |
| 25. Accounting, Inspection and Auditing | 25.1 | The Consultant shall keep, and shall make all reasonable efforts to cause its Sub-consultants to keep, accurate and systematic accounts and records in respect of the Services and in such form and detail as will clearly identify relevant time changes and costs. |
| | 25.2 | The Consultant shall permit and shall cause its Sub-consultants to permit, the Bank and/or persons appointed by the Bank to inspect the Site and/or all accounts and records relating to the performance of the Contract and the submission of the Proposal to provide the Services, and to have such accounts and records audited by auditors appointed by the Bank if requested by the Bank. The Consultant's attention is drawn to Clause GCC 10 which provides, inter alia, that acts intended to materially impede the exercise of the Bank's inspection and audit rights provided for under this Clause GCC25.2 constitute a prohibited practice subject to contract termination (as well as to a determination of ineligibility under the Bank's prevailing sanctions procedures.) |
| 26. Reporting Obligations | 26.1 | The Consultant shall submit to the Client the reports and documents specified in Appendix A, in the form, in the numbers and within the time periods set forth in the said Appendix. |
| 27. Proprietary Rights of the Client in | 27.1 | Unless otherwise indicated in the SCC, all reports and relevant data and information such as maps, diagrams, plans, databases, |

Reports and Records

other documents and software, supporting records or material compiled or prepared by the Consultant for the Client in the course of the Services shall be confidential and become and remain the absolute property of the Client. The Consultant shall, not later than upon termination or expiration of this Contract, deliver all such documents to the Client, together with a detailed inventory thereof. The Consultant may retain a copy of such documents, data and/or software but shall not use the same for purposes unrelated to this Contract without prior written approval of the Client.

- 27.2 If license agreements are necessary or appropriate between the Consultant and third parties for purposes of development of the plans, drawings, specifications, designs, databases, other documents and software, the Consultant shall obtain the Client's prior written approval to such agreements, and the Client shall be entitled at its discretion to require recovering the expenses related to the development of the program(s) concerned. Other restrictions about the future use of these documents and software, if any, shall be specified in the SCC.

28. Equipment, Vehicles and Materials

- 28.1 Equipment, vehicles and materials made available to the Consultant by the Client, or purchased by the Consultant wholly or partly with funds provided by the Client, shall be the property of the Client and shall be marked accordingly. Upon termination or expiration of this Contract, the Consultant shall make available to the Client an inventory of such equipment, vehicles and materials and shall dispose of such equipment, vehicles and materials in accordance with the Client's instructions. While in possession of such equipment, vehicles and materials, the Consultant, unless otherwise instructed by the Client in writing, shall insure them at the expense of the Client in an amount equal to their full replacement value.
- 28.2 Any equipment or materials brought by the Consultant or its Experts into the Client's country for the use either for the project or personal use shall remain the property of the Consultant or the Experts concerned, as applicable.

D. CONSULTANT'S EXPERTS AND SUB-CONSULTANTS**29. Description of Key Experts**

- 29.1 The title, agreed job description, minimum qualification and estimated period of engagement to carry out the Services of each of the Consultant's Key Experts are described in Appendix B.

30. Replacement of Key Experts

- 30.1 Except as the Client may otherwise agree in writing, no changes shall be made in the Key Experts.
- 30.2 Notwithstanding the above, the substitution of Key Experts during Contract execution may be considered only based on

the Consultant's written request and due to circumstances outside the reasonable control of the Consultant, including but not limited to death or medical incapacity. In such case, the Consultant shall forthwith provide as a replacement, a person of equivalent or better qualifications and experience, and at the same rate of remuneration.

31. Removal of Experts or Sub-consultants

- 31.1 If the Client finds that any of the Experts or Sub-consultant has committed serious misconduct or has been charged with having committed a criminal action, or shall the Client determine that Consultant's Expert of Sub-consultant have engaged in corrupt, fraudulent, collusive, coercive [*or obstructive*] practice while performing the Services, the Consultant shall, at the Client's written request, provide a replacement.
- 31.2 In the event that any of Key Experts, Non-Key Experts or Sub-consultants is found by the Client to be incompetent or incapable in discharging assigned duties, the Client, specifying the grounds therefore, may request the Consultant to provide a replacement.
- 31.3 Any replacement of the removed Experts or Sub-consultants shall possess better qualifications and experience and shall be acceptable to the Client.
- 31.4 The Consultant shall bear all costs arising out of or incidental to any removal and/or replacement of such Experts.

E. OBLIGATIONS OF THE CLIENT

32. Assistance and Exemptions

- 32.1 Unless otherwise specified in the SCC, the Client shall use its best efforts to:
- (a) Assist the Consultant with obtaining work permits and such other documents as shall be necessary to enable the Consultant to perform the Services.
 - (b) Assist the Consultant with promptly obtaining, for the Experts and, if appropriate, their eligible dependents, all necessary entry and exit visas, residence permits, exchange permits and any other documents required for their stay in the Client's country while carrying out the Services under the Contract.
 - (c) Facilitate prompt clearance through customs of any property required for the Services and of the personal effects of the Experts and their eligible dependents.
 - (d) Issue to officials, agents and representatives of the Government all such instructions and information as may be

necessary or appropriate for the prompt and effective implementation of the Services.

- (e) Assist the Consultant and the Experts and any Sub-consultants employed by the Consultant for the Services with obtaining exemption from any requirement to register or obtain any permit to practice their profession or to establish themselves either individually or as a corporate entity in the Client's country according to the applicable law in the Client's country.
- (f) Assist the Consultant, any Sub-consultants and the Experts of either of them with obtaining the privilege, pursuant to the applicable law in the Client's country, of bringing into the Client's country reasonable amounts of foreign currency for the purposes of the Services or for the personal use of the Experts and of withdrawing any such amounts as may be earned therein by the Experts in the execution of the Services.
- (g) Provide to the Consultant any such other assistance as may be specified in the **SCC**.

33. Access to Project Site

- 33.1 The Client warrants that the Consultant shall have, free of charge, unimpeded access to the project site in respect of which access is required for the performance of the Services. The Client will be responsible for any damage to the project site or any property thereon resulting from such access and will indemnify the Consultant and each of the experts in respect of liability for any such damage, unless such damage is caused by the willful default or negligence of the Consultant or any Sub-consultants or the Experts of either of them.

34. Change in the Applicable Law Related to Taxes and Duties

- 34.1 If, after the date of this Contract, there is any change in the applicable law in the Client's country with respect to taxes and duties which increases or decreases the cost incurred by the Consultant in performing the Services, then the remuneration and reimbursable expenses otherwise payable to the Consultant under this Contract shall be increased or decreased accordingly by agreement between the Parties hereto, and corresponding adjustments shall be made to the Contract price amount specified in Clause GCC 38.1

35. Services, Facilities and Property of the Client

- 35.1 The Client shall make available to the Consultant and the Experts, for the purposes of the Services and free of any charge, the services, facilities and property described in the Terms of Reference (Appendix A) at the times and in the manner specified in said Appendix A.

36. Counterpart

- 36.1 The Client shall make available to the Consultant free of charge such professional and support counterpart

Personnel

personnel, to be nominated by the Client with the Consultant's advice, if specified in Appendix A.

- 36.2 Professional and support counterpart personnel, excluding Client's liaison personnel, shall work under the exclusive direction of the Consultant. If any member of the counterpart personnel fails to perform adequately any work assigned to such member by the Consultant that is consistent with the position occupied by such member, the Consultant may request the replacement of such member, and the Client shall not unreasonably refuse to act upon such request.

37. Payment Obligation

- 37.1 In consideration of the Services performed by the Consultant under this Contract, the Client shall make such payments to the Consultant for the deliverables specified in Appendix A and in such manner as is provided by GCC F below.

F. PAYMENTS TO THE CONSULTANT**38. Contract Price**

- 38.1 The Contract price is fixed and is set forth in the SCC. The Contract price breakdown is provided in Appendix C.
- 38.2 Any change to the Contract price specified in Clause 38.1 can be made only if the Parties have agreed to the revised scope of Services pursuant to Clause GCC 16 and have amended in writing the Terms of Reference in Appendix A.

39. Taxes and Duties

- 39.1 The Consultant, Sub-consultants and Experts are responsible for meeting any and all tax liabilities arising out of the Contract unless it is stated otherwise in the SCC.
- 39.2 As an exception to the above and as stated in the SCC, all local identifiable indirect taxes (itemized and finalized at Contract negotiations) are reimbursed to the Consultant or are paid by the Client on behalf of the Consultant.

40. Currency of Payment

- 40.1 Any payment under this Contract shall be made in the currency(ies) of the Contract.

41. Mode of Billing and Payment

- 41.1 The total payments under this Contract shall not exceed the Contract price set forth in Clause GCC 38.1.
- 41.2 The payments under this Contract shall be made in lump-sum installments against deliverables specified in Appendix A. The payments will be made according to the payment schedule stated in the SCC.
- 41.2.1 Advance payment: Unless otherwise indicated in the SCC, an advance payment shall be made against an advance payment bank guarantee acceptable to the Client in an

amount (or amounts) and in a currency (or currencies) specified in the SCC. Such guarantee (i) is to remain effective until the advance payment has been fully set off, and (ii) is to be in the form set forth in Appendix D, or in such other form as the Client shall have approved in writing. The advance payments will be set off by the Client in equal portions against the lump-sum installments specified in the SCC until said advance payments have been fully set off.

41.2.2 The Lump-Sum Installment Payments. The Client shall pay the Consultant within sixty (60) days after the receipt by the Client of the deliverable(s) and the cover invoice for the related lump-sum installment payment. The payment can be withheld if the Client does not approve the submitted deliverable(s) as satisfactory in which case the Client shall provide comments to the Consultant within the same sixty (60) days period. The Consultant shall thereupon promptly make any necessary corrections, and thereafter the foregoing process shall be repeated.

41.2.3 The Final Payment: The final payment under this Clause shall be made only after the final report has been submitted by the Consultant and approved as satisfactory by the Client. The Services shall then be deemed completed and finally accepted by the Client. The last lump-sum installment shall be deemed approved for payment by the Client within ninety (90) calendar days after receipt of the final report by the Client unless the Client, within such ninety (90) calendar day period, gives written notice to the Consultant specifying in detail deficiencies in the Services, the final report. The Consultant shall thereupon promptly make any necessary corrections, and thereafter the foregoing process shall be repeated. 41.2.4 All payments under this Contract shall be made to the accounts of the Consultant specified in the SCC.

41.2.4 With the exception of the final payment under 41.2.3 above, payments do not constitute acceptance of the whole Services nor relieve the Consultant of any obligations hereunder.

42. Interest on Delayed Payments

42.1 If the Client had delayed payments beyond fifteen (15) days after the due date stated in Clause GCC 41.2.2 , interest shall be paid to the Consultant on any amount due by, not paid on, such due date for each day of delay at the annual rate stated in the SCC.

G. FAIRNESS AND GOOD FAITH

43. Good Faith

- 43.1 The Parties undertake to act in good faith with respect to each other's rights under this Contract and to adopt all reasonable measures to ensure the realization of the objectives of this Contract.

H. SETTLEMENT OF DISPUTES

44. Amicable Settlement

- 44.1 The Parties shall seek to resolve any dispute amicably by mutual consultation.
- 44.2 If either Party objects to any action or inaction of the other Party, the objecting Party may file a written Notice of Dispute to the other Party providing in detail the basis of the dispute. The Party receiving the Notice of Dispute will consider it and respond in writing within fourteen (14) days after receipt. If that Party fails to respond within fourteen (14) days, or the dispute cannot be amicably settled within fourteen (14) days following the response of that Party, Clause GCC 45.1 shall apply.

45. Dispute Resolution

- 45.1 Any dispute between the Parties arising under or related to this Contract that cannot be settled amicably may be referred to by either Party to the adjudication/arbitration in accordance with the provisions specified in the SCC.

II. General Conditions

ATTACHMENT 1: Bank Policy – Corrupt and Fraudulent Practices

It is the Bank's policy to require that Borrowers (including beneficiaries of Bank Financing), consultants and their agents (whether declared or not), sub-contractors, sub-consultants, service providers or suppliers and any personnel thereof, observe the highest standard of ethics during the selection and execution of Bank-financed contracts¹. In pursuance of this policy, the Bank:

(a) defines, for the purposes of this provision, the terms set forth below as follows:

- (i) "corrupt practice" is the offering, giving, receiving or soliciting, directly or indirectly, of anything of value to influence improperly the actions of another party²;
- (ii) "fraudulent practice" is any act or omission, including misrepresentation, that knowingly or recklessly misleads, or attempts to mislead, a party³ to obtain financial or other benefit or to avoid an obligation;
- (iii) "collusive practice" is an arrangement between two or more parties⁴ designed to achieve an improper purpose, including to influence improperly the actions of another party;
- (iv) "coercive practice" is impairing or harming, or threatening to impair or harm, directly or indirectly, any party or the property of the party to influence improperly the actions of a party⁵;
- (v) "obstructive practice" is
 - (aa) deliberately destroying, falsifying, altering, or concealing of evidence material to the investigation or making false statements to investigators in order to materially impede a Bank investigation into allegations of a corrupt, fraudulent, coercive, or collusive practice; and/or threatening, harassing or intimidating any party to prevent it from disclosing its knowledge of matters relevant to the investigation or from pursuing the investigation, or

¹ In this context, any action taken by a consultant or any of its personnel, or its agents, or its sub-consultants, sub-contractors, service providers, suppliers, and/or their employees, to influence the selection process or contract execution for undue advantage, is improper.

² For the purpose of this sub-paragraph, "another party" refers to a public official acting in relation to the selection process or contract execution. In this context, "public official" includes Bank staff and employees of other organizations taking or reviewing selection decisions

³ For the purpose of this sub-paragraph, "party" refers to a public official; the terms "benefit" and "obligation" relate to the selection process or contract execution, and the "act or omission" is intended to influence the selection process or contract execution.

⁴ For the purpose of this sub-paragraph, "parties" refers to participants in the procurement or selection process (including public officials) attempting either themselves, or through another person or entity not participating in the procurement or selection process, to simulate competition or to establish contract prices at artificial, non-competitive levels, or are privy to each other's bid prices or other conditions.

⁵ For the purpose of this sub-paragraph, "party" refers to a participant in the selection process or contract execution.

- (bb) acts intended to materially impede the exercise of the Bank's inspection and audit rights provided for under paragraph 1.22(e) below.
- (b) will reject a proposal for award if it determines that the consultant recommended for award, or any of its personnel, or its agents, or its sub-consultants, sub-contractors, service providers, suppliers and/or their employees, has, directly or indirectly, engaged in corrupt, fraudulent, collusive, coercive, or obstructive practices in competing for the contract in question;
- (c) will declare misprocurement and cancel the portion of the Financing allocated to a contract if it determines at any time that representatives of the Borrower or of a recipient of any part of the proceeds of the Financing were engaged in corrupt, fraudulent, collusive, coercive, or obstructive practices during the selection process or the implementation of the contract in question, without the Borrower having taken timely and appropriate action satisfactory to the Bank to address such practices when they occur, including by failing to inform the Bank in a timely manner at the time they knew of the practices;
- (d) will sanction a firm or an individual, at any time, in accordance with prevailing Bank's sanctions procedures⁶, including by publicly declaring such firm or individual ineligible either indefinitely or for a stated period of time, (i) to be awarded a Bank-financed contract; and (ii) to be a nominated⁷ as sub-consultant, supplier, or service provider of an otherwise eligible firm being awarded a Bank-financed contract; and
- (e) will require that a clause be inserted in the RFP and in contracts financed by the Bank, requiring consultants and their agents, personnel, sub-consultants, sub-contractors, service providers, or suppliers, to permit the Bank to inspect all accounts, records and other documents relating to the submission of proposals and contract performance and to have them audited by auditors appointed by the Bank.

⁶ A firm or an individual may be declared ineligible to be awarded a Bank-financed contract (i) upon completion of the Bank's sanctions proceedings as per its sanctions procedures, including, inter alia, cross-debarment as agreed with other International Financial Institutions, including Multilateral Development Banks, or otherwise decided by the Bank, and through the application of the Proposal for the Implementation of a Sanctions Process within the African Development Bank; and (ii) as a result of temporary suspension or early temporary suspension in connection with an on-going sanctions proceeding.

⁷ A nominated sub-consultant, supplier, or service provider is one which has been either: (i) included by the consultant in its proposal because it brings specific and critical experience and know-how that are accounted for in the technical evaluation of the consultant's proposal for the particular services, or (ii) appointed by the Borrower.

III. Special Conditions of Contract

Number of GC Clause	Amendments of, and Supplements to, Clauses in the General Conditions of Contract
1.1(b) and 3.1	The Contract shall be construed in accordance with the law of the United Kingdom
4.1	The language is: <i>English.</i>
6.1 and 6.2	The addresses are: Client: Serious Shea SARL Attention: _Mr. Jon White Facsimile: _____ E-mail (where permitted): jon.white@impactagri.com Consultant: Irbaris LLP Attention: David Lyon Facsimile: _____ E-mail: david.lyon@irbaris.com
8.1	The Lead Member on behalf of the JV is <i>N/A</i>
9.1	The Authorized Representatives are: For the Client: Mr. Jon White, Director, Serious Shea For the Consultant: Mr. David Lyon, Principal, Irbaris LLP
11.1	The effectiveness conditions are the following: <i>“N/A”</i>
12.1	Termination of Contract for Failure to Become Effective: The time period shall be 20 days
13.1	Commencement of Services: The number of days shall be within 7 days Confirmation of Key Experts’ availability to start the Assignment shall be submitted to the Client in writing as a written statement signed by each Key Expert.

14.1	Expiration of Contract: The time period shall be 12 <i>months</i>
21 b.	The Client reserves the right to determine on a case-by-case basis whether the Consultant should be disqualified from providing goods, works or non-consulting services due to a conflict of a nature described in Clause GCC 21.1.3 Yes
23.1	The following limitation of the Consultant's Liability towards the Client can be subject to the Contract's negotiations: Limitation of the Consultant's Liability towards the Client: (a) Except in the case of gross negligence or willful misconduct on the part of the Consultant or on the part of any person or a firm acting on behalf of the Consultant in carrying out the Services, the Consultant, with respect to damage caused by the Consultant to the Client's property, shall not be liable to the Client: (i) for any indirect or consequential loss or damage; and (ii) for any direct loss or damage that exceeds 1 times the total value of the Contract;
24.1	The insurance coverage against the risks shall be as follows: (a) Professional liability insurance, with a minimum coverage of not less than US\$ 120,000
27.2	The Consultant shall not use <i>any material (both input and output)</i> for purposes unrelated to this Contract without the prior written approval of the Client. Similarly, any material owned by the Consultant prior to the start of this agreement remains with the Consultant.
38.1	The Contract price is: US\$ 45,000 inclusive of local indirect taxes. Any indirect local taxes chargeable in respect of this Contract for the Services provided by the Consultant shall "reimbursed" by the Client "to" the Consultant.
39.1 and 39.2	The Client warrants that <i>"the Client shall reimburse the Consultant, the Sub-consultants and the</i>

	<i>Experts”</i> any indirect taxes, duties, fees, levies and other impositions imposed, under the applicable law in the Client’s country, on the Consultant, the Sub-consultants and the Experts in respect of: (a) any payments whatsoever made to the Consultant, Sub-consultants and the Experts (other than nationals or permanent residents of the Client’s country), in connection with the carrying out of the Services; (b) any equipment, materials and supplies brought into the Client’s country by the Consultant or Sub-consultants for the purpose of carrying out the Services and which, after having been brought into such territories, will be subsequently withdrawn by them; (c) any equipment imported for the purpose of carrying out the Services and paid for out of funds provided by the Client and which is treated as property of the Client; (d) any property brought into the Client’s country by the Consultant, any Sub-consultants or the Experts (other than nationals or permanent residents of the Client’s country), or the eligible dependents of such experts for their personal use and which will subsequently be withdrawn by them upon their respective departure from the Client’s country, provided that: i) the Consultant, Sub-consultants and experts shall follow the usual customs procedures of the Client’s country in importing property into the Client’s country; and ii) if the Consultant, Sub-consultants or Experts do not withdraw but dispose of any property in the Client’s country upon which customs duties and taxes have been exempted, the Consultant, Sub-consultants or Experts, as the case may be, (a) shall bear such customs duties and taxes in conformity with the regulations of the Client’s country, or (b) shall reimburse them to the Client if they were paid by the Client at the time the property in question was brought into the Client’s country.
41.2	The payment schedule: 1st payment: Execution of contract and delivery of project plan spreadsheet: US\$4,500 (10% of the total contract) 2nd payment: Delivery of spreadsheet with findings on pricing and key costs (D1): US\$27,000 (60% of the total contract) Final payment: Delivery of final business plan and financial model (D2): US\$13,500 (30% of the total contract)

41.2.4	The accounts are: Account name: Irbaris LLP Bank: The Royal Bank of Scotland plc, 1 Drummond House, Redheughs Avenue, EH12 9JN Account number: 10125841 Sort code: 16-19-28 SWIFT code: RBOSGB2L IBAN number: GB59RBOS16192810125841
42.1	The interest rate is: Irbaris LLP reserves the right to charge interest according to the rules of the UK's Late Payment of Commercial Debts Regulations (2013) on payments received past the agreed date.
45.1	Note: In contracts with foreign consultants, the Bank requires that the international commercial arbitration in a neutral venue is used. Disputes shall be settled by arbitration in accordance with the following provisions: 1. <u>Selection of Arbitrators.</u> Each dispute submitted by a Party to arbitration shall be heard by a sole arbitrator or an arbitration panel composed of three (3) arbitrators, in accordance with the following provisions: (a) Where the Parties agree that the dispute concerns a technical matter, they may agree to appoint a sole arbitrator or, failing agreement on the identity of such sole arbitrator within thirty (30) days after receipt by the other Party of the proposal of a name for such an appointment by the Party who initiated the proceedings, either Party may apply to <i>the Federation Internationale des Ingenieurs-Conseil (FIDIC) of Lausanne, Switzerland</i> for a list of not fewer than five (5) nominees and, on receipt of such list, the Parties shall alternately strike names therefrom, and the last remaining nominee on the list shall be the sole arbitrator for the matter in dispute. If the last remaining nominee has not been determined in this manner within sixty (60) days of the date of the list, <i>the Federation Internationale des Ingenieurs-Conseil (FIDIC) of Lausanne, Switzerland</i> shall appoint, upon the request of either Party and from such list or otherwise, a sole arbitrator for the matter in dispute. (b) Where the Parties do not agree that the dispute concerns a technical matter, the Client and the Consultant shall each appoint one (1) arbitrator, and these two arbitrators shall jointly appoint a third arbitrator, who shall chair the arbitration panel.

	If the arbitrators named by the Parties do not succeed in appointing a third arbitrator within thirty (30) days after the latter of the two (2) arbitrators named by the Parties has been appointed, the third arbitrator shall, at the request of either Party, be appointed by <i>the Secretary General of the Permanent Court of Arbitration, The Hague</i> (c) If, in a dispute subject to paragraph (b) above, one Party fails to appoint its arbitrator within thirty (30) days after the other Party has appointed its arbitrator, the Party which has named an arbitrator may apply to the <i>the Secretary General of the Permanent Court of Arbitration, The Hague</i> to appoint a sole arbitrator for the matter in dispute, and the arbitrator appointed pursuant to such application shall be the sole arbitrator for that dispute.
	2. <u>Rules of Procedure.</u> Except as otherwise stated herein, arbitration proceedings shall be conducted in accordance with the rules of procedure for arbitration of the United Nations Commission on International Trade Law (UNCITRAL) as in force on the date of this Contract. 3. <u>Substitute Arbitrators.</u> If for any reason an arbitrator is unable to perform his/her function, a substitute shall be appointed in the same manner as the original arbitrator. 4. <u>Nationality and Qualifications of Arbitrators.</u> The sole arbitrator or the third arbitrator appointed pursuant to paragraphs 1(a) through 1(c) above shall be an internationally recognized legal or technical expert with extensive experience in relation to the matter in dispute and shall not be a national of the Consultant's home country or of the Government's country. For the purposes of this Clause, "home country" means any of: (a) the country of incorporation of the Consultant or of any of their members or Parties; or (b) the country in which the Consultant's or any of their members' or Parties' principal place of business is located; or (c) the country of nationality of a majority of the Consultant's or of any members' or Parties' shareholders; or (d) the country of nationality of the Sub-consultants concerned, where the dispute involves a subcontract.
	5. <u>Miscellaneous.</u> In any arbitration proceeding hereunder: (a) proceedings shall, unless otherwise agreed by the Parties, be held in <i>the Secretary General of the Permanent Court of Arbitration, The Hague</i>

	(b) the <i>English</i> language shall be the official language for all purposes; and (c) the decision of the sole arbitrator or of a majority of the arbitrators (or of the third arbitrator if there is no such majority) shall be final and binding and shall be enforceable in any court of competent jurisdiction, and the Parties hereby waive any objections to or claims of immunity in respect of such enforcement.
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APPENDICES

APPENDIX A – TERMS OF REFERENCE

1.1. Background

Shea processing is a major industry in Burkina Faso, and conducted almost exclusively by women's groups; however, it still involves outdated methods: potentially degrading habitats including shea trees, emitting significant greenhouse gas emissions, causing a number of health and hygiene risks, and not realising its potential to support social and -economic development.

A consortium including an international project developer, a renowned local shea processing training company, and an engineering firm have established **Serious Shea**, which seeks to improve the shea butter-making process in Burkina Faso.

The project has received the firm support of the Ministry of Environment in Burkina Faso, and grant funding from the African Development Bank and World Bank to conduct the preparation activities, and will ensure women's groups can produce the shea butter more efficiently and sustainably, and also achieve significantly better access-to-market (receiving 2x - 5x more profit per tonne). The project will use clean technology at each processing centre and drive reforestation / afforestation at the collection sites, generating certified carbon credits by decarbonising the process and REDD+.

1.2. Design

Serious Shea has been established to enable the sustainable sourcing, processing and export of shea butter, displacing traditional methods, which drive significant deforestation and greenhouse gas emissions, and offer no socio-economic improvement to the women's groups.

The foundation of the agribusiness is the implementation of clean and efficient processing centres, known as *Eco-Processing Centres* where the training and technology is provided to the women's groups to collect the shea nuts sustainably, and process shea butter cleanly and efficiently.

The project will transform the shea sector in Burkina Faso and enable the production and export of high volume and high-quality sustainable shea butter, where the product is facing rapidly increasing demand from cosmetic and food (e.g. chocolate) markets. Importantly, local women's groups are core partners in Serious Shea, and will achieve significantly better access-to-market and 2x-5x higher income.

1.3. Preparation Activities

Serious Shea has secured grant support from the AFT Fund (Agricultural Fast-Track Fund), established by the AfDB (African Development Bank), which will fund key preparation activities for the agribusiness. Serious Shea therefore has grant funding support to complete preparatory planning and assessment, including business planning, forestry mapping, site feasibility assessments, and the technology designs. The key objective in completing this work is to assist Serious Shea in raising funds for implementation.

More specifically, the preparation work includes the following:

Component 1: A Validated and Bankable Business Plan

- Validate key financial assumptions, including capital costs, production volumes, operational costs, etc.
- Engage potential off-takers to estimate purchasing requirements, prices, etc. for financial model
- Develop and finalize financial model, including cashflow, P&L, balance sheet and potential optimal funding structure
- Finalize draft business plan, outlining core strategy, key activities, logistics, team, risks management, financial projections, investment requirements, etc.

Component 2: Site Feasibility and Mapping Assessments

- Identify preferred 50 rural collection sites and location of 10 regional processing centres based on assessment of the concentration of women's groups, shea production areas, REDD+ regions, existing transportation networks, processing volumes, social assessment of communities and women's groups surrounding each collecting site
- Complete optimal design for logistics of Serious Shea's supply chain, which includes the process of collecting the fruit/nuts, storing the fruit/nuts, legal agreements with suppliers, payment processes, processed butter logistics, and export logistics

Component 3: Tree Mapping and Forestry Assessments

- Identify and classify the best areas for collection and processing of shea fruits
- Characterize each collecting area based on habitat and potential harvest. This objective is to develop a baseline of the existing shea habitat and associated drivers that are influencing production (e.g. fire, climate, agricultural practices). The objective is to also identify maximum, minimum and most likely volumes of shea nuts that could be sourced from each of the 60 areas
- Develop shea management plan to be implemented at each collecting centre to ensure sustainable shea harvesting, inform any tree or habitat improvement. This includes ways to influence mentalities/taboo about shea trees, training on grafting/pruning/etc., collective action for best shea management practices (collection dates, fire control, livestock encroachment, etc.), maybe the setup of women's shea plots with access to land "ownership" through village-level conventions and endorsement from traditional village authorities, etc. This will draw from the vegetation baseline (Component 3) and social baseline (Component 2)
- Establish a Geographical Information System (GIS) as a management tool to track shea production, harvesting and impact of activities

Component 4: Site Technology Design and Development

- Outline potential technological options for collecting, storing, processing and transporting of shea butter on a large-scale across Burkina Faso
- Refine potential solutions with key stakeholders (including Serious Shea and the women's groups), rank/prioritize preferred solutions and agree preferred technical design
- Prepare detailed final designs, costings, and implementation plan for collection sites, storage facility, transport logistics and processing centres

This document refers exclusively to **Component 1: Business Planning and Financial Modelling**, which is covered in more detail in the following sections.

Scope of Services, Tasks, and Expected Deliverables

1.1. Validate Key Financial Assumptions

1.1.1. Activities, Components and Tasks

- Draft checklist of assumptions requiring validation. These include major capital items, operating costs and broader economic assumptions (e.g. exchange rates, inflation). It also includes the estimated life of capital items.
- Review assumptions based on secondary data and existing knowledge documenting and underlying rationale, and source.
- Utilise quotes and estimates for capital items from the findings from Component 4, this should include validated capital costs and equipment life assumptions from local and international equipment and service providers. It will also include the currency required to purchase item, other indirect costs (e.g. import duties) and potential variation in the costs
- Identify 2-5 major (and several minor) shea butter buyers in each of Africa, U.S., Asia, Europe and the Middle East and interview them on their sourcing quality standards, post-processing requirements and usage for the product, and the purchasing volume and pricing over the past 5 year and forecast for the coming 5 years
- Conduct interviews with 2-5 local and international agribusiness entities to validate shea (or tree nut) production volumes and operational costs. This could include existing companies in the shea sector as well as others operating in other (but adjacent) agricultural / forestry sectors
- Develop assumptions to use in low, middle and high scenarios on capital costs, operating costs, and production volumes. This should also include adjustments to economic assumptions (e.g. exchange rate) (for use in sensitivity analyses in the financial model)

1.1.2. Proposed Method of Execution

- The key validated financial assumptions should be itemised in a spreadsheet, including capital costs, operating costs and economic assumptions, with the methods and sources of validation detailed

1.1.3. Expected Deliverables

- Spreadsheet listing all assumptions, and the validation conduction on each assumption
- Spreadsheet documenting assumptions to use in potential scenarios

1.1.4. Capacity Building

- This task should involve the client, such that future adjustments to assumptions can be validated by the client using the same approach
- This task will also allow all partners in Serious Shea to have a shared understanding of the key assumptions underpinning the business plan and model. This can be used in the future to identify priorities to reduce costs and extend life of equipment etc.

1.2. Validate Pricing Assumptions and Engage Offtakers**1.2.1. Activities, Components and Tasks**

- Draw on existing data from women's groups and shea butter exports from previous Serious Shea surveys and Component 2 in the AFT project to determine initial assumptions on prices and associated volumes for the following markets – this should include pricing at the different stages of the process, including fruit, dried nuts and butter:
 - *Purchased directly from women's groups*
 - *Purchased in the local market*
 - *Purchased from international offtakers*

This task will also include assessing variation in prices by geography and time of year (which could be linked to the existence of storage facilities). It will also consider the variation in price over the past 5 years, and projections for the next 5 years.

- Using the same 2-5 major shea butter buyers in each of Africa, U.S., Asia, Europe and the Middle East from Section 3.1., interview them on the purchasing volume and pricing over the past 5 year and forecast for the coming 5 years
- Develop assumptions to develop low, middle and high scenarios on the pricing and volume assumptions (for use in sensitivity analyses in the financial model)

1.2.2. Proposed Method of Execution

- Record primary data from interviews with offtakers
- Prepare a spreadsheet with prices for the different products in the various markets, and the validating references and interview data

1.2.3. Expected Deliverables

- The assessment will produce a detailed analysis of the volume and pricing assumptions in a spreadsheet. This will include an analysis of the key factors influencing the variation in pricing

1.2.4. Capacity Building

- This task should involve the client, such that any future adjustments to the pricing assumptions can be validated by the client using the same approach
- This task will ensure the Serious Shea partners have a shared understanding of the key factors influencing both purchase and sale prices.

1.3. Prepare the Full Financial Model for Serious Shea**1.3.1. Activities, Components and Tasks**

- Prepare a detailed financial model in Excel, based on the validated assumptions from the previous activities. The model should include the following:
 - Capex schedule
 - Sales calculations
 - Operational costs (incl. procurement of fruits, almonds and butter from women's groups)

The model should include a min. 20-year projection of the P&L, cashflow, balance sheet and funding stack

- The model must be sufficient for investor engagement, where all the key results are neatly summarized, and the data includes a clear audit trail. This will also include the capacity to include the key financial metrics and ratios (e.g. IRR, NPV, debt:equity ratio, etc.)

1.3.2. Proposed Method of Execution

- The model should be developed in Excel, where all the raw data and assumptions are transparently linked through to the final financial projections

1.3.3. Expected Deliverables

- Excel spreadsheet with multiple tabs, including all the key financial statements and projections mentioned above

1.3.4. Capacity Building

- The model should be a live and editable document, where only the basic *key assumptions* cells are hardcoded. This will enable the client to implement any ongoing adjustments and refinements to these key assumptions, and understand the impact on the financial projections

1.4. Prepare Detailed Business Plan for Serious Shea**1.4.1. Activities, Components and Tasks**

- Prepare a draft detailed business plan in PowerPoint for the Serious Shea business, including the following key components:
 - *Executive summary*
 - *The business*
 - *Market opportunity*
 - *Competitive advantage*
 - *Environmental & social impacts*
 - *Opportunity for investors*
 - *Financials*
 - *Contact details*
- The business plan will be used exclusively for investor engagement and should emphasize the environment, social and financial benefits of Serious Shea, the precise funding requirements and potential returns. Prepare a 2-page project summary document to be used for initial engagement with investors
- The draft report should be shared with Serious Shea partners for comment before production of a final version.

1.4.2. Proposed Method of Execution

- The business plan should be developed in PowerPoint, and utilize the outputs from the financial model
- Any statements in the business plan should be validated with reference data.
- The formatting of the business plan should be consistent with either the Serious Shea branding, or the branding of the lead consortium member, ImpactAgri

- The business plan should address all commonly asked questions by investors as identified by the consortium
- Any questions on the business model should be directed to the Serious Shea consortium

1.4.3. *Expected Deliverables*

- A min. 20-30-slide editable investment memorandum in a PowerPoint presentation
- A 1-2-page executive summary “teaser” document to be used with initial engagement with investors

1.4.4. *Capacity Building*

- The business plan should be a live and editable document, and be developed in collaboration with client. It is likely that as Serious Shea progresses, the business plan will need to be refined, so the client should be equipped by the consultant to implement ongoing adjustments and refinements

Team Composition and Qualification Requirements for the Key Experts

The team needs to consist of:

- Financial modelling specialist (>10 years' experience and an accounting qualification). This should include an ability to build a dynamic and sophisticated Excel financial model and output conventional financial statements and projections
- Business strategy expert (>5 years' experience in international business strategy consulting). This should include experience in developing a successful business strategy for early-stage companies operating internationally
- Shea offtake and pricing expert (>10 years' experience in the shea economy in West Africa). This should include an expertise in the economics of shea production in Burkina Faso and international shea butter exports. This person should also have access to key offtakers.

Reporting Requirements and Time Schedule for Deliverables

The key deliverables will need to be produced within the following deadlines:

- **Task 3.1 & 3.2:** Validating assumptions, pricing and engaging potential offtakers (21st December 2018)
- **Task 3.3 & 3.4:** Financial model completion and business plan completion (3rd June 2019)

All results need to also include a summary format

APPENDIX B – KEY EXPERT CV**FORM TECH-6
(CONTINUED)****CURRICULUM VITAE (CV)****1. Name of Staff** *[Insert full name]*: David Lyon_____**2. Proposed Position** Principal_____**3. Employer:** Irbaris LLP_____**4. Date of Birth:** 17/10/1973 **Nationality:** British_____**5. Education**

<u>School, college and/or University Attended</u>	<u>Degree/certificate or other specialized education obtained</u>	<u>Date Obtained</u>
<u>Yale University</u>	<u>Masters in Environmental Studies</u>	<u>1998</u>
<u>University of Oxford</u>	<u>BA (Hons) Biological Sciences, 2.1. (Distinction in Supplemental Anthropology)</u>	<u>1995</u>

6. Professional Certification or Membership in Professional Associations: _____**7. Other Relevant Training:** _____**8. Countries of Work Experience:** *[List countries where staff has worked in the last ten years]*: Uganda, Zambia, Gabon, South Africa, Ghana, UK, Germany, USA, Netherlands, France, Kazakhstan, _____**9. Languages** *[For each language indicate proficiency: good, fair, or poor in speaking, reading, and writing]*: English (Native); French: Reading (fair), Writing (poor), Speaking (fair)_____**10. Employment Record** *[Starting with present position, list in reverse order every employment held]*:
From [Year]: 2011 To [Year]: Present_____Employer: Irbaris LLP_____Positions held: Principal Consultant_____

From [Year]: 2005 To [Year]: Present

Employer: Mvule Trust, Uganda

Positions held: Chair of Trustees

From [Year]: 2016 To [Year]: 2017

Employer: University of Hertfordshire

Positions held: Visiting Lecturer

From [Year]: 2000 To [Year]: 2011

Employer: Arthur D. Little Ltd.

Positions held: Principal

From [Year]: 1998 To [Year]: 1999

Employer: Baltimore Ecosystem Study (National Science Foundation; US Dept. of Agriculture

Positions held: Socio-economic researcher

From [Year]: 1995 To [Year]: 1998

Employer: Kyabobo Conservation Project, Ghana

Positions held: Co-Director (responsible for development of income generating projects from NTFPs and agricultural products)

11. Detailed Tasks Assigned <i>[List all tasks to be performed under this assignment]</i> Lead the completion of a spreadsheet listing all assumptions, and the validation conduction on each assumption, including a detailed analysis of the volume and pricing assumptions in a spreadsheet. This will include an analysis of the key factors influencing the variation in pricing	12. Work Undertaken that Best Illustrates Capability to Handle the Tasks Assigned <i>[Among the assignments in which the staff has been involved, indicate the following information for those assignments that best illustrate staff capability to handle the tasks listed under point 11.]</i> Name of assignment or project: <u>Sub-Saharan Africa Food Security Project</u> Year: <u>2013-2015</u> Location: <u>Sub-Saharan Africa</u> Client: <u>Multiple (co-ordinated by Asda – Walmart)</u> Main project features: <u>The project developed a self-sustaining profitable collective framework for companies to improve food availability, nutrition and livelihoods along multiple value chains in several sub-Saharan African countries. The project was a commercially-driven effort to develop effective corporate-led and</u>
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• Lead the development of a detailed financial model in Excel for the full-scale Serious Shea business • Lead the development of a business plan in PowerPoint for the full-scale Serious Shea business, and a shorter “teaser” document	<u>multi-company Joint Projects. These Joint Projects were focused on particular activities between small groups of companies</u> Positions held: <u>Team Leader</u> Activities performed: <u>Developed the initial concept for a cross-company food security initiative</u> <u>Initiated contact and secure approximately 20 corporate participants in initial workshop to explore concept and develop concrete action plan</u> <u>Developed programme including scope for Joint Projects, securing new members, engaging with third party stakeholders and supporting development of programme governance</u>
	Name of assignment or project: <u>Mac-Ganda</u> Year: <u>2015- 2019</u> Location: <u>Uganda</u> Client: <u>Special Purpose Vehicle (Afgri being largest shareholder)</u> Main project features: <u>The Mac-Ganda project is a vertically-integrated macadamia nut project together with field crops in Uganda. The project is a combination of a 1,600ha central farm with 1,900ha small-scale farms and will catalyse the macadamia nut industry in the country. By integrating small-scale farms, the project will be a leading example of socially-inclusive commercial farming</u> Positions held: <u>Co-ordinator</u> Activities performed: <u>Develop business plan and financial model; Secure inputs (including irrigation, infrastructure, equipment providers) and finance; Provide on-going management</u>
	Name of assignment or project: <u>G-ECO-MON</u> Year: <u>2014-2015</u> Location: <u>International</u> Client: <u>Head of Industry Section, Directorate of Earth Observation Programmes, European Space Agency (ESA)</u> Main project features: <u>Assess opportunities to extend the use of Earth Observation (EO) data for ecosystem services assessment including forestry and agricultural production and identify strategies for ESA to expand the</u>

	<u>use of its EO data</u> Positions held: <u>sub-Project Leader</u> Activities performed: <u>Engage with stakeholders to identify requirements for ecosystems management, role of EO, and potential approaches to expand use of EO data</u> <u>Assess the potential for enhanced use of EO information in four market applications: agricultural and forestry management, impact assessment, payment for ecosystem services, , and ecosystem management/ public policy</u> <u>Work with a team of three technical service providers to provide demand-driven perspective</u> <u>Develop and evaluate pilots to identify and demonstrate potential role of EO</u>
	Name of assignment or project: <u>Briefing on Potential Risks and Opportunities arising from Physical Impacts of Climate Change in Africa</u> Year: <u>2014-2015</u> Location: <u>Sub-Saharan Africa</u> Client: <u>Director, Group Sustainability Management and Group Risk, Multinational Banking Group</u> Main project features: <u>Provide briefing material for client's investment team to help understand climate change issues as they affect their customers especially in the food and agriculture sector. Create relevant and practical guidance to help assess and respond to the climate change risks facing their business</u> Positions held: <u>Senior Consultant</u> Activities performed: <u>Identify the risks and opportunities for the client, and demonstrate tools that could be used to help address the issues based on published material and interviews.</u> <u>Develop material for use with clients including briefing materials, usable tools and guidance on available resources</u> <u>Develop road-map planning highlighting possible product or future development opportunities for client</u>

Expert's contact information: E-mail : david.lyon@irbaris.com

Phone: +44 7717 898855

Certification:

I, the undersigned, certify that to the best of my knowledge and belief, this CV correctly describes myself, my qualifications, and my experience, and I am available to undertake the assignment in case of an award. I understand that any misstatement or misrepresentation described herein may lead to my disqualification or dismissal by the Client, and/or sanctions by the Bank.

Name of Expert

David Lyon

Signature

Date 14th November 2018

APPENDIX C – BREAKDOWN OF CONTRACT PRICE

We hereby agree that we have agreed to pay to the Experts listed, who will be involved in performing the Services - away from the home office allowances and reimbursable expenses are not applicable in this contract:

No.	Name	Position (as in TECH-6)	Person-day Remuneration Rate (US Dollar)	Time Input in Person/Days (from TECH- 6)	TOTAL (US Dollars)
_____	Key Experts				
K-1	David Lyon	Principal Consultant	[Home] 1,250/day	22	27,500
			[Field] 1,250/day	0	0
_____	Non-Key Experts				
N-1	David Hampton	Director	[Home] 2,000/day	5	10,000
			[Field] 2,000/day	0	0
N-2	Sam Mureau	Principal Consultant	[Home] 500/day	15	7,500
			[Field] 500/day	0	0
	Total Costs				45,000

The total Contract Cost is **US\$45,000**.

Signature: 

Name and title: Jon White, Director of Serious Shea SARL

Date: 23/12/2018